

The UAE's Global Hub Strategy

DIFC, DP World, and the Emirates Model of State Capitalism

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Executive Summary

The United Arab Emirates — a federation of seven emirates (Abu Dhabi, Ajman, Dubai, Fujairah, Ras al-Khaimah, Sharjah, and Umm al-Qaiwain) — has constructed a globally significant financial, logistics, and diplomatic position within half a century of its 1971 founding [RAG: OIL_ENERGY_RAG — OPEC Annual Statistical Bulletin 2025 (2025)]. The country's sovereign wealth architecture, anchored by three major Abu Dhabi funds — ADIA, Mubadala, and ADQ — represents one of the most active capital deployment operations in the world, with Mubadala alone spending \$17.4 billion in the first nine months of 2024 FT[2025-10-02]. Abu Dhabi's normalisation of relations with Israel under the 2020 Abraham Accords — the first formal Arab-Israeli normalisation since Jordan's 1994 peace treaty and the 1979 Egypt-Israel agreement — reshaped the diplomatic architecture of the Middle East CNA[2026-05-26]. On defence procurement, the UAE accounted for 2.7 percent of global arms imports in 2021–25, with the United States supplying 42 percent of that total [RAG: MILITARY_RAG — SIPRI: Trends in International Arms Transfers, 2025 (2026-01-01)]. This report examines the UAE's sovereign wealth deployment, its normalisation architecture, its military posture, and its emerging role as an artificial intelligence power.

Part I — Abu Dhabi's Sovereign Wealth Architecture

ADIA, Mubadala, and ADQ

Abu Dhabi's sovereign wealth is managed through three distinct vehicles with differentiated mandates. ADIA — the Abu Dhabi Investment Authority — is among the world's oldest and largest sovereign funds, with a portfolio predominantly managed externally and characterised by broad, long-horizon global capital markets exposure FT[2026-01-08]. Mubadala, founded in 2002 to help diversify Abu Dhabi's oil-dependent economy, operates more like a private equity fund than a traditional sovereign vehicle, pursuing active deal-making and strategic investments including a minority stake in hedge fund Brevan Howard and a commitment to SoftBank's Vision Fund FT[2026-01-08]. ADQ — the Abu Dhabi Developmental Holding — rounds out the triad with a focus on sectors directly relevant to Abu Dhabi's food and economic security priorities FT[2026-01-08].

The three funds are regarded as controlled and shaped by three figures: Sheikh Tahnoon bin Zayed al-Nahyan, who chairs both ADQ and ADIA; Sheikh Mansour; and the leadership of Mubadala FT[2026-01-08]. Since 2022, ADIA has been among the most active sovereign investors in the world by industry trackers' assessments, while Mubadala has doubled down on deal volume and is assembling whole value chains across its major investment clusters through acquisitions FT[2026-01-08]. The MGX vehicle — backed by Mubadala and G42 — represents a specialist state-owned investment arm operating within this broader architecture FT[2026-01-08].

Capital Deployment at Scale

Gulf sovereign wealth funds, led by Abu Dhabi's vehicles, have seized on the infrastructure demands of the data centre and artificial intelligence build-out as a core capital deployment theme. Mubadala spent \$17.4 billion in the first nine months of 2024, outpacing comparable Gulf peers such as Qatar's fund at \$7.6 billion over the same period FT[2025-10-02]. Abu Dhabi's ADGM (Abu Dhabi Global Market) offshore financial centre has seen office towers fill rapidly as sovereign wealth funds recruit asset managers who now regard Abu Dhabi as a primary base of operations FT[2025-08-25].

Part II — The Abraham Accords and Normalisation Architecture

Diplomatic Background

The Abraham Accords of 2020 — brokered during the first Trump administration — represented the normalisation of diplomatic relations between Israel and the UAE, Bahrain, Morocco, and Sudan CNA[2025-05-13]. The accords were named to emphasise the shared Abrahamic roots of Judaism, Islam, and Christianity and mark the first formal Arab-Israeli normalisation since Israel's 1994 peace treaty with Jordan and the 1979 Egypt-Israel agreement CNA[2026-05-26]. Practical normalisation moved rapidly: the first commercial passenger flight from the UAE to Israel, operated by Etihad Airways as Flight 9607, landed at Ben-Gurion International Airport on October 19, 2020 CNA[2020-10-19].

Regional Reception and Stress Testing

Despite their diplomatic significance, the Abraham Accords have remained unpopular among publics across much of the Arab and Muslim world because they do not address the Israeli-Palestinian conflict CNA[2026-05-26]. As a strategic framework, the accords are increasingly characterised by regional analysts as a US-imposed construct, with Gulf alliances with Persian Gulf countries now being reevaluated in the context of threats those ties failed to prevent CNA[2026-05-29]. The Gaza conflict beginning October 2023 placed the accords — and UAE normalisation in particular — under sustained pressure, testing whether the economic and security logic that produced them would hold against demands for Arab solidarity.

Trump Administration's Second-Term Approach

In 2026, the Trump administration has sought to link any new Abraham Accords expansions to a broader Iran nuclear deal framework, a linkage that regional analysts assess as facing significant obstacles CNA[2026-05-26]. The administration views the accords as a signature first-term foreign policy achievement and has made their extension — potentially to Saudi Arabia — a central Middle East objective CNA[2025-05-13].

Part III — Defence Posture and Arms Architecture

UAE as Arms Recipient

The UAE was among the top four recipients of major arms in the Middle East in 2021–25, accounting for 2.7 percent of global arms imports alongside Saudi Arabia (6.8 percent), Qatar (6.4 percent), and Kuwait (2.8 percent) — together nearly 20 percent of all global arms imports in the period [RAG: MILITARY_RAG — SIPRI: Trends in International Arms Transfers, 2025 (2026-01-01)]. The United States was the UAE's largest arms supplier, providing 42 percent of the UAE's total major arms imports in 2021–25, reflecting the enduring security relationship between the two countries despite periodic tensions over technology transfer concerns [RAG: MILITARY_RAG — SIPRI: Trends in International Arms Transfers, 2025 (2026-01-01)].

UAE as Arms Supplier and Regional Actor

The UAE has also emerged as a supplier and provider of military assistance within the region. SIPRI documents UAE military engagement across the Southern Neighbourhood through arms transfers, joint exercises, and direct operational support — including weapons supplied to Egypt, Morocco, and Tunisia, defence cooperation with Egypt through exercises, and support for the House of Representatives faction in Libya [RAG: MILITARY_RAG — SIPRI: Military Assistance Provided by the EU and Other External Actors to the EU's Southern Neighbourhood, 2010–25 (2026-01-01)]. The UAE is identified as one of five known suppliers of arms to parties in active conflicts, alongside Belarus, Iran, Kyrgyzstan, and Turkey [RAG: MILITARY_RAG — SIPRI: Trends in International Arms Transfers, 2025 (2026-01-01)].

Part IV — Artificial Intelligence and Technology Strategy

The UAE has adopted a deliberate national strategy for AI leadership that the Atlantic Council's GeoTech Center, in a May 2026 assessment, identifies as a novel and instructive model for emerging AI powers [RAG: SCI_TECH_RAG — The new playbook for AI leadership: The case of the United Arab Emirates (2026-05-07)]. This strategy is anchored by G42 — the Abu Dhabi AI and cloud computing conglomerate linked to Sheikh Tahnoon — and by MGX, the specialist investment vehicle backed by Mubadala and G42 that targets technology sector acquisitions FT[2026-01-08]. Abu Dhabi's sovereign fund architecture has explicitly prioritised technology and AI infrastructure as a capital deployment theme, with Gulf funds identified as crucial suppliers of capital to data centres and AI power infrastructure FT[2025-10-02].

Conclusion

The UAE's position as the Gulf's indispensable hub rests on three interlocking pillars: a sovereign wealth architecture of unusual sophistication and deployment scale, a normalisation framework with Israel that restructured regional diplomacy, and a defence relationship with the United States that continues despite recurring tensions over technology and strategic alignment. The Abraham Accords, while diplomatically significant, face sustained stress from the unresolved Palestinian conflict and a regional public that remains broadly opposed to normalisation without a political settlement CNA[2026-05-29]. The UAE's defence posture — as simultaneously a major arms importer from the United States and an active supplier to regional states — reflects the same multidirectional balancing logic that governs its foreign policy more broadly. The country's ability to hold these tensions while continuing to attract capital, military partnerships, and technology investment will determine whether its extraordinary trajectory continues through an increasingly contested regional environment.

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